Speculation ran riot over calm judgment. Business was taking counsel of its hopes.

There had to be an end—a reversal. It came in March. Men who had taken counsel of their hopes began to take counsel of their fears.

Stocks in which there was no inherent reason for a rise quickly fell. But how about other stocks? They fell, too—because in some instances men had to sacrifice the good to protect the purely speculative; in others because of a certain reflex action to which the Exchange is generally susceptible.

Do not condemn the bears—theirs is the purging influence! They supply the balance-wheel to haphazard speculation.

What effect, then, did this movement of stocks have on business—and why? Without looking further into the cause of the movement, let us draw a simple parallel.

You decide after careful study of the trend to buy a certain issue of stock. You telephone your broker, taking counsel of your hopes, and place your order for 1,000 shares of this stock. You pay $100 a share for it. It rises, true to your hopes, to $200. You take note of your finances. You have $200,000 where 6 months before you had but half that much. You are worth, you say, $200,000 because you bought that particular stock.

But suddenly there is a bear movement. (Do not condemn the bears—theirs is the purging influence! They supply the balance-wheel to haphazard speculation.) Your stock falls off 50 points. If you believe in the stock, you hold on; if not, you sell.

But beyond all that you take counsel of your fears! You have lost $50,000! You are $50,000 poorer than you were